By the end of the second year, HDFC had witnessed a significant progress in lending operations as also a general expansion in various parts of the country. Offices came up in Ahmedabad, Bangalore, Calcutta, Madras, New Delhi, and Pune. Its total sanction of loans exceeded ₹29 crores and its disbursement against sanctioned loans crossed the ₹10 crore mark. It also made a modest profit of ₹90 lakhs. The average personal loan was ₹30,000 and the average age of the borrower was thirty-six years. By the end of the third year, loan approvals exceeded ₹30 crores and disbursements ₹22 crores. HDFC granted loans at 11 to 12 percent and therefore it was essential to maintain the average cost of borrowed funds at or around 10 percent per annum if it was to continue to lend money to its current borrowers drawn largely from the low and middle income groups, at rates they could afford.

In the initial years, HDFC relied on share capital and institutional lenders but over the long-term, it became necessary to finance its operations from broad-based deposit schemes which encouraged would-be-beneficiaries to contribute toward the pool of lendable resources. In developed economies, all housing finance institutions required borrowers to become members of the housing finance agency. Savings were generated by people specifically for housing, aided by specialized housing finance intermediaries who financed house building and home ownership. Thus, housing would become a self financed activity for those who had the capacity to save and acquire houses financed by long-term loans.[24]

In order to develop such a system, HDFC introduced the Certificate of Deposit Scheme in November 1979 for large depositors. For the small saver, HDFC introduced the Loan Linked Deposit Scheme which encouraged small savers to begin a passbook account with HDFC for as little as ₹200, and deposit money as and when funds were available in multiples of ₹100. After a period of three years, the depositor could withdraw his accumulated deposit which earned 9 percent per annum or renew it with HDFC. In either event, the depositor became eligible for a loan of upto four times his accumulated savings, subject to HDFC's normal lending policy. HDFC also obtained permission from the RBI to accept deposits from and grant loans to NRIs who wanted to acquire property in India. As Parekh observed, 'Building the future is the task of the present and it is this task that HDFC has set itself.'[25] But earning the trust of